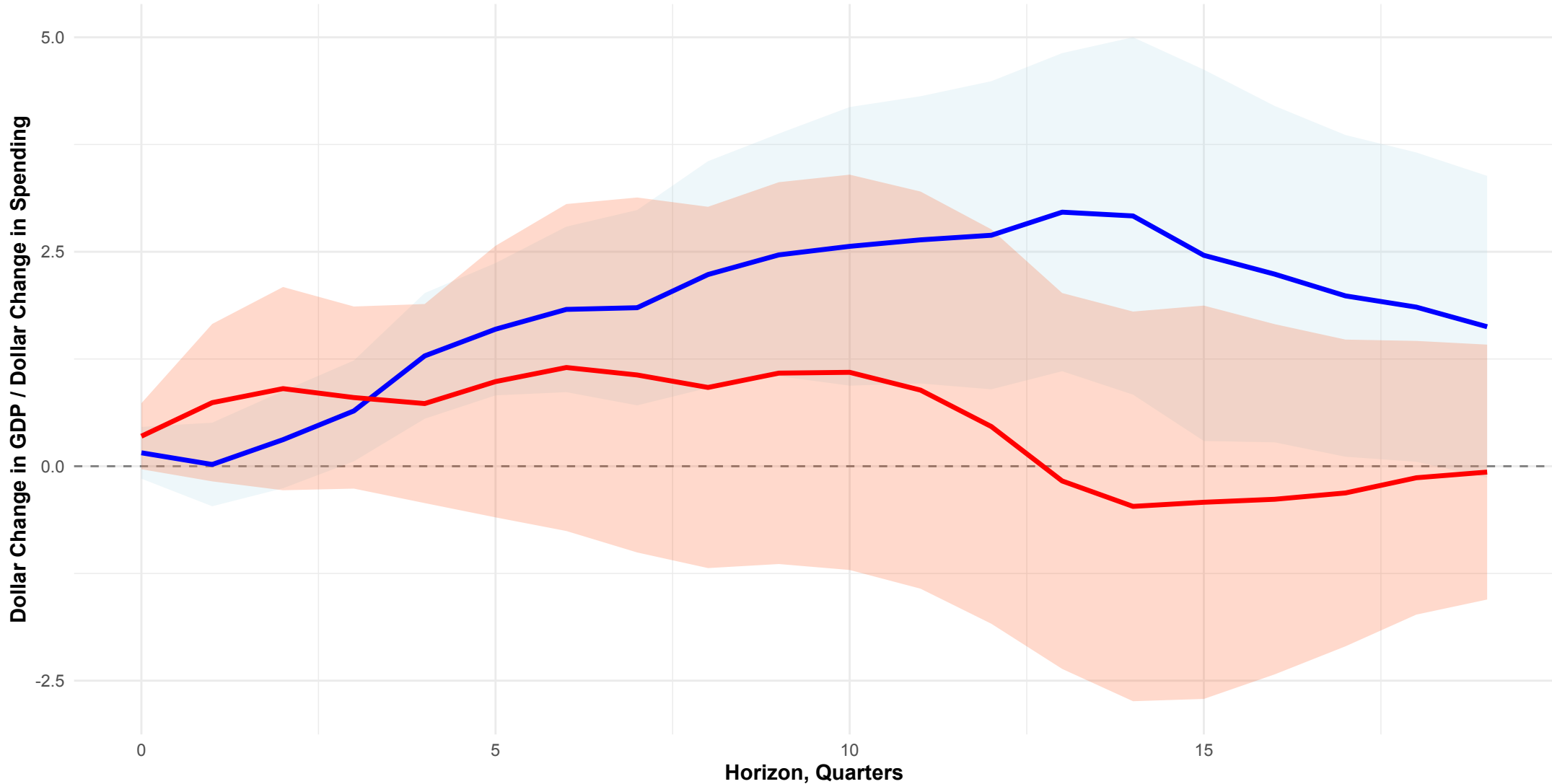


Government Spending Multipliers in \$

Smooth Transition LP-IV



Regime
(Shaded: 95% Newey-West CI)

High Progressivity Low Progressivity

Scaled by 1913-2006 avg GDP/GOV ratio